Town of Yountville

IMPARTIAL ANALYSIS of Measure Y
Increase of Appropriation Limits – Gann Limit

BACKGROUND. In 1979, California voters adopted Proposition 4, the "Gann Limit Initiative," which added Article XIII B to the State Constitution and requires local governments, including the Town of Yountville, to adopt an annual appropriations limit (i.e., a limit on the amount of tax revenues the Town may spend in a fiscal year). In 1990, California voters adopted Proposition 111, establishing the 1986-1987 fiscal year as the base year for the Town's appropriations limit, to be adjusted annually based on changes in cost of living and population. If the Town receives tax revenues in excess of its appropriations limit over a period of two fiscal years, it must return those excess tax revenues by a revision of tax rates or fee schedules within the next two subsequent fiscal years.

CHANGES TO GANN LIMIT. Voters may change the annual appropriations limit at an election for up to four years following the election.

MEASURE Y. This measure was placed on the ballot by the Yountville Town Council and would authorize the Town to continue appropriating the proceeds of taxes already approved. This measure does not approve or impose any new taxes or increase any existing taxes. This measure increases the Town's annual appropriations limit by $3,000,000 plus one-fourth (1/4) of the transient occupancy tax (TOT) revenues for the prior fiscal year, for each year for a four year period commencing with fiscal year 2027/2028.

VOTE REQUIREMENTS. This measure requires simple majority (50% + 1) voter approval to pass. If less than a majority of votes cast at the election are in favor, the measure will not pass and the Town's annual appropriations limit will be maintained subject to annual adjustments under state law.

A "yes" vote increases the Town's annual appropriations limit by $3,000,000 plus one-fourth (1/4) of the transient occupancy tax (TOT) revenues for the prior fiscal year, for each year for a four year period commencing with fiscal year 2027/2028.

A "no" vote rejects the proposed increase and maintains the Town's annual appropriations limit subject to annual adjustments under state law.

Gary B Bell

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